On the positive side was the rare opportunity to buy a significant quantity of gold from an official international institution, a consideration that had to be balanced against the potential censure we would attract should the price of gold fall steeply in the future. Time was of the essence too since there could be competition from other central banks. And how much should we buy? All 400 MT on offer? Or should we bid only for a part of it? It appeared from the reaction when the news hit the market that I'd have pulled off a coup of sorts if we had bid for the total quantity. But by then, over one year into my tenure as governor, I had become enough of a central banker to take a conservative approach. Considering all the pros and cons, I told Shyamala to go ahead and place a bid for 200 tonnes of gold. In the next few days, I informed only the prime minister and the finance minister, that too in person, when I happened to meet them in some other context.

A small team in the Reserve Bank, led by the affable and intelligent Chief General Manager Meena Hemachandra, worked on the logistics with the IMF. The arrangement was that we would pay the IMF the average price in the London bullion market over the following fifteen working days. Since secrecy was critical, the whole operation had to be conducted on an entirely 'need-to-know' basis. In fact, beyond me and the deputy governors, no more than half a dozen Reserve Bank staff were involved in the transaction. The IMF too instituted a similar code of diligence and secrecy on its side.

The transaction was completed on 3 November 2009, with 2 November being the last of the fifteen working days. As per the agreement, we paid the IMF through the US Federal Reserve by wire transfer at 6 p.m. IST that day, while the Bank of England, the custodian of IMF holdings, transferred the gold to our account by 9 p.m. the same day.

The contract with the IMF also included an agreement that both sides would issue simultaneous press releases on completion of the deal, which meant that the Reserve Bank release would be on 4 November. However, late evening on 2 November, our media spokesperson got a call from a press reporter saying that he was releasing a story the next day, 3 November, on the Reserve Bank's purchase of gold unless we denied it. This report would not have had any impact on the purchase price since the